SIMPLE INVOICING INTEREST CALCULATION

by Santosh Srivastava

SIMPLE INVOICING INTEREST CALCULATION

When a trader sales goods to any party on credit basis then he charges interest on the outstanding balance.
If the party refunds cash by instalment, then the trader charges same interest on all instalments. It is called ***simple invoicing interest calculation***.

Example:-

Ram sold 3 pieces of HCL Computer to Arun for Rs. 10,000 each on credit basis. He decided to divide the total amount in three instalments and charge 5 % interest on it. Maintain the above transaction.

To maintain:-

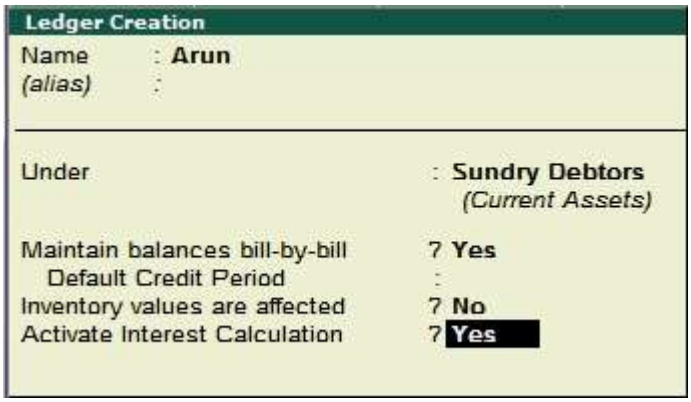
Create a company and then activate bill wise details, interest calculation and debit/credit note as follow:-

To Activate Bill Wise Details, Interest Calculation and Debit/Credit Note: - G.O.T. (Gateway of Tally)--> Press F11 (Company Features)--> Press F2 (Inventory Features).



Now create ledger:-

Path for ledger creation: - G.O.T. (Gateway of Tally)--> Accounts Info--> Ledger--> Create (Single).



Interest Parameters

Calculate Interest Transaction-by-Transaction ? **Yes**
Override Parameters for each Transaction ? **Yes**
Override advanced parameters ? **Yes**

Rate : 5 % per **30-Day Month** on **All Balances**
Applicability : ***Always*** *Calculate From* : ***Date Specified During Entry***
Rounding : ***Not Applicable***

Rate : [redacted] % per on

Ledger Creation

Name : **Arun**
(alias) :

Under : **Sundry Debtors**
(Current Assets)

Maintain balances bill-by-bill ? **Yes**
Default Credit Period :
Inventory values are affected ? **No**
Activate Interest Calculation ? **Yes**

Accept ?
Yes or **No**

Ledger Creation

Name : **Sales**
(alias) :

Under : **Sales Accounts**

Maintain balances bill-by-bill ? **No**

Inventory values are affected ? **Yes**
Activate Interest Calculation ? **No**

Accept ?
Yes or **No**

Ledger Creation

Name : **Interest**
(alias) :

Under : **Indirect Incomes**

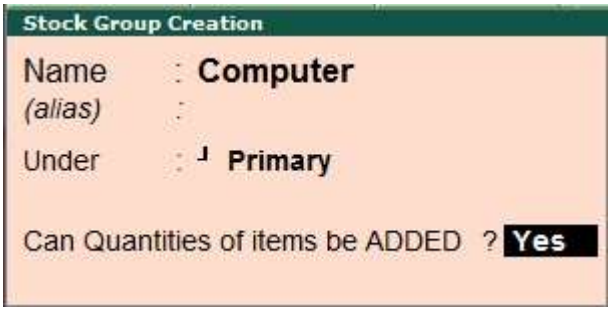
Maintain balances bill-by-bill ? **No**

Inventory values are affected ? **No**
Activate Interest Calculation ? **No**

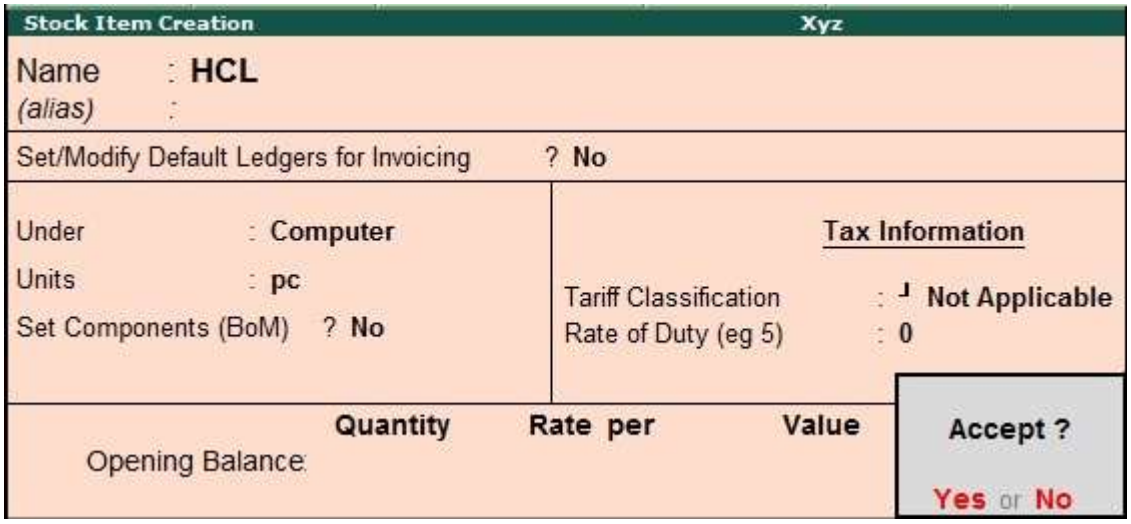
Accept ?
Yes or **No**

Now create stock master:-

To Create Stock Group: - G.O.T. (Gateway of Tally)--> Inventory Info--> Stock Group--> Create.



To Create Stock Item: - G.O.T. (Gateway of Tally)--> Inventory Info--> Stock Item--> Create.



Now do voucher entry as follow:-

Path for voucher creation: - G.O.T. (Gateway of Tally)--> Inventory Voucher--> Press F8 (Sales Voucher).

And then press F12 for configuration as follow:-

Sales Invoice Configuration

Accept Supplementary Details *(Address Details, Despatch Details etc.)*	? Yes
Allow Separate Buyer and Consignee Names	? Yes
Use Common Ledger A/c for Item Allocation	? No
Use Defaults for Bill Allocations	? No
Use Voucher No. as Bill Ref. No. for Bill Allocations	? Yes
Use Additional Description(s) for Item Name	? No
Use Additional Description(s) for Ledger Name	? Yes
Consolidate Stock Items with same rates	? No
Show Compound Unit of Item based on Rate	? No
Show Full Details of Compound Unit	? No
Use Default for Bank Allocations	? No
Show Remarks in Bank Allocation Details	? No

Exporters' Options

Specify Export Shipping details	? No
Specify Marks & Nos./Container No.	? No
Specify No. and Kind of Packages	? No

Other Options

Show turnover achieved with Customer	? No
Allow modification of ALL fields during entry	? Yes
Warn on Negative Stock Balance	? No
Calculate Tax on current Sub-Total *(else calculations are on Inventory Total only)*	? No

And now do the voucher entry.

Accounting Voucher Creation Ctrl + M

Sales No. 1 1-Apr-2014 Tuesday

Ref. :

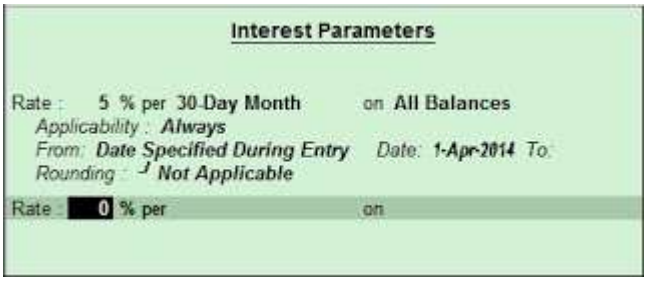
Party's A/c Name : **Arun**

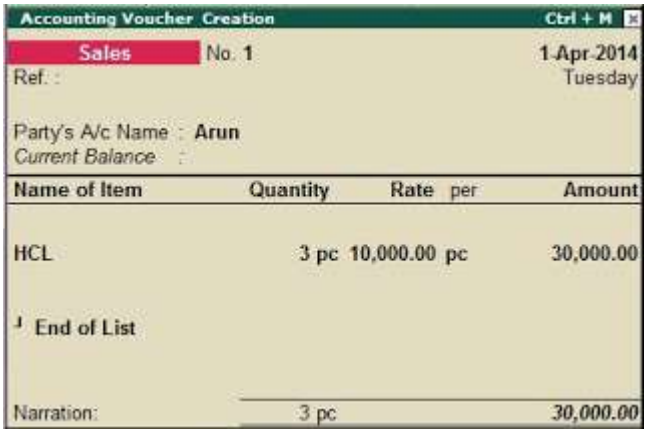
Current Balance :

Name of Item	Quantity	Rate per	Amount
HCL	3 pc	10,000.00 pc	30,000.00
End of List			
Narration:	3 pc		30,000.00

Bill-wise Details for : **Arun**
Upto: ₹ **30,000.00 Dr**

Type of Ref	Name	Due Date, or Credit Days (wef: 1-Apr-2014)	Amount	Dr/ Cr
New Ref	1	30 Days (1-May-2014)	30,000.00	Dr
			30,000.00	Dr

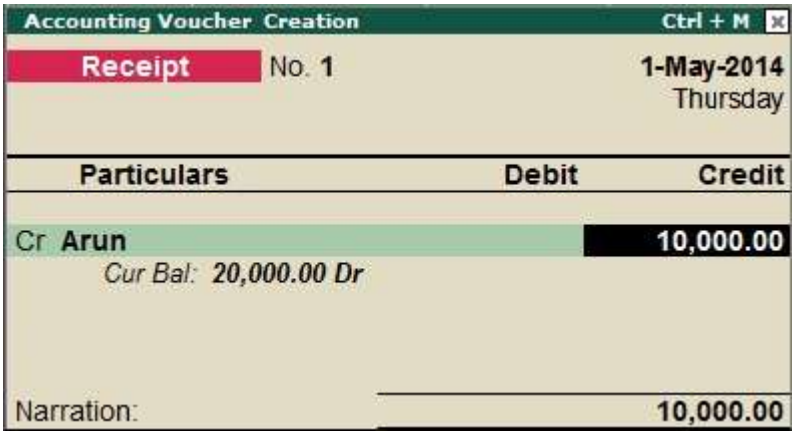




Press F6 to open Receipt Voucher.
When the voucher opens, press F2 and change the date as given below:-



And then press “enter” and fill the voucher.



Bill-wise Details for : **Arun**
Upto: ₹ **10,000.00 Cr**

Type of Ref	Name	Due Date, or Credit Days (wef: 1-May-2014)	Amount	Dr/ Cr
Agst Ref	1	**30 Days** (1-May-2014)	**10,000.00**	**Cr**
			10,000.00	**Cr**

Accounting Voucher Creation Ctrl + M

Receipt No. **1** **1-May-2014** Thursday

Particulars	Debit	Credit
Cr **Arun**		**10,000.00**
*Cur Bal: **20,000.00 Dr***		
Agst Ref **1** 30 Days (1-May-2014) 10,000.00 Cr		
Dr **Cash**	**10,000.00**	
*Cur Bal: **10,000.00 Dr***		
Narration:	**10,000.00**	**10,000.00**

Accept the voucher and again press F2 and change the date.

Voucher Date

1.6.14

Accounting Voucher Creation Ctrl + M

Receipt No. **2** **1-Jun-2014** Sunday

Particulars	Debit	Credit
Cr **Arun**		**10,000.00**
*Cur Bal: **10,000.00 Dr***		
Agst Ref **1** 30 Days (1-May-2014) 10,000.00 Cr		
Dr **Cash**	**10,000.00**	
*Cur Bal: **20,000.00 Dr***		
Narration:	**10,000.00**	**10,000.00**

Accept the voucher and again change the date by pressing F2 key.



Accounting Voucher Creation Ctrl + M

Receipt No. 3 1-Jul-2014 Tuesday

Particulars	Debit	Credit
Cr **Arun**		10,000.00
Cur Bal: 0.00 Cr		
Agst Ref 1 30 Days (1-May-2014) 10,000.00 Cr		
Dr **Cash**	10,000.00	
Cur Bal: 30,000.00 Dr		
Narration:	10,000.00	10,000.00

View the ledger interest of Arun as follow:-

Path for view interest calculation: - G.O.T. (Gateway of Tally)--> Display--> Statement of Account--> Interest Calculation--> Ledger--> Arun.

Ledger Interest Xyz Ctrl + M

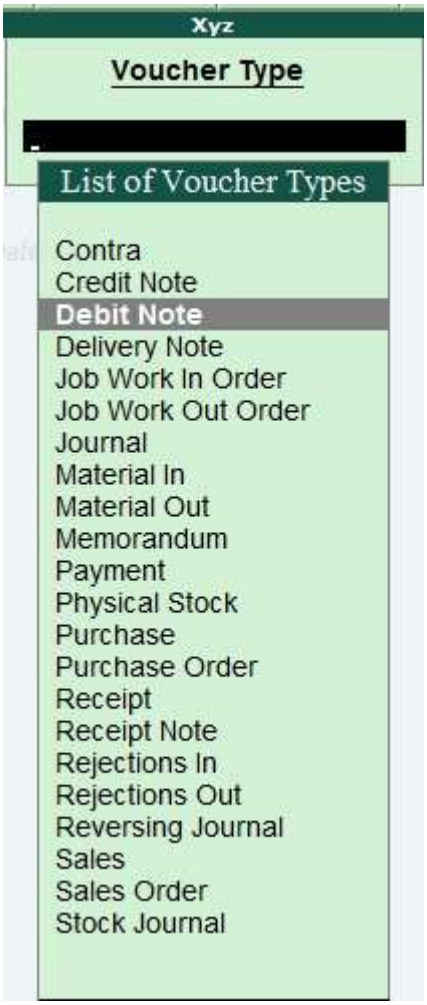
Ledger : **Arun** 1-Apr-2014 to 1-Jul-201

Date	Ref. No.				Opening Amount	Pending Amount	Interes
1-Apr-2014	1				30,000.00 Dr		3,033.33 D
30,000.00 Dr	*1-Apr-2014*	*1-May-2014*	*30 days*	*5 %*	*1,500.00 Dr*		
20,000.00 Dr	*1-May-2014*	*1-Jun-2014*	*31 days*	*5 %*	*1,033.33 Dr*		
10,000.00 Dr	*1-Jun-2014*	*1-Jul-2014*	*30 days*	*5 %*	*500.00 Dr*		
					30,000.00 Dr		3,033.33 D

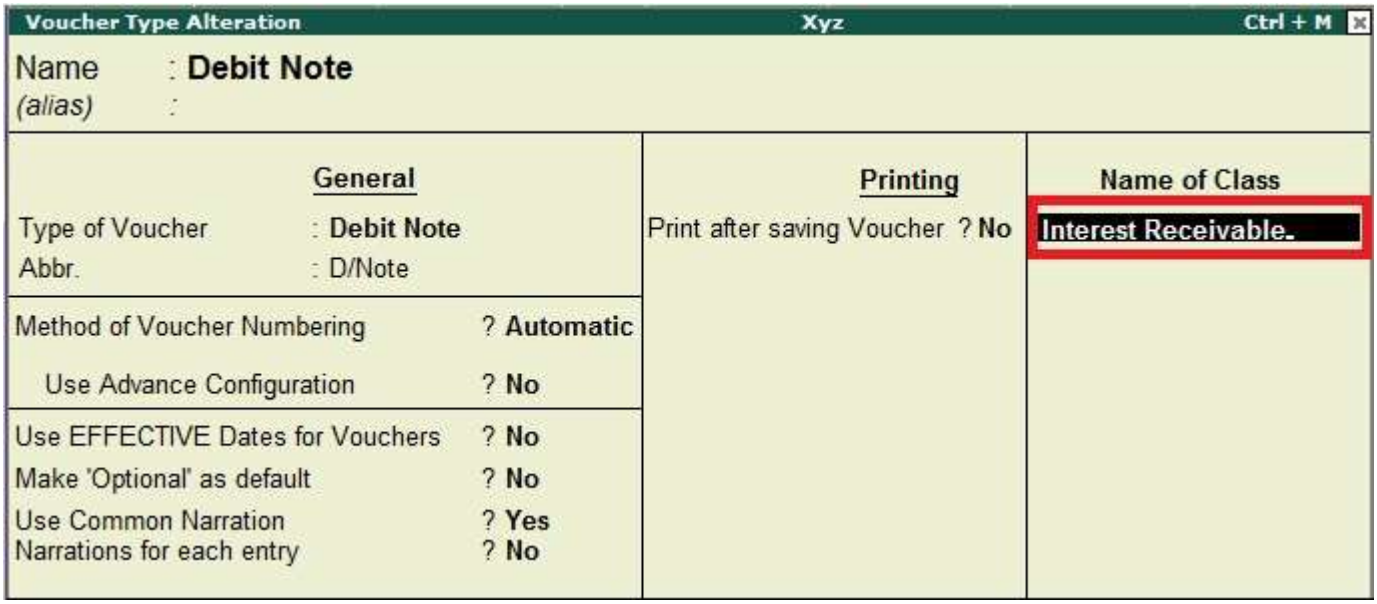
Now create voucher type as follow:-

Path for voucher type creation: - G.O.T. (Gateway of Tally)--> Accounts Info--> Voucher Type--> Alter.

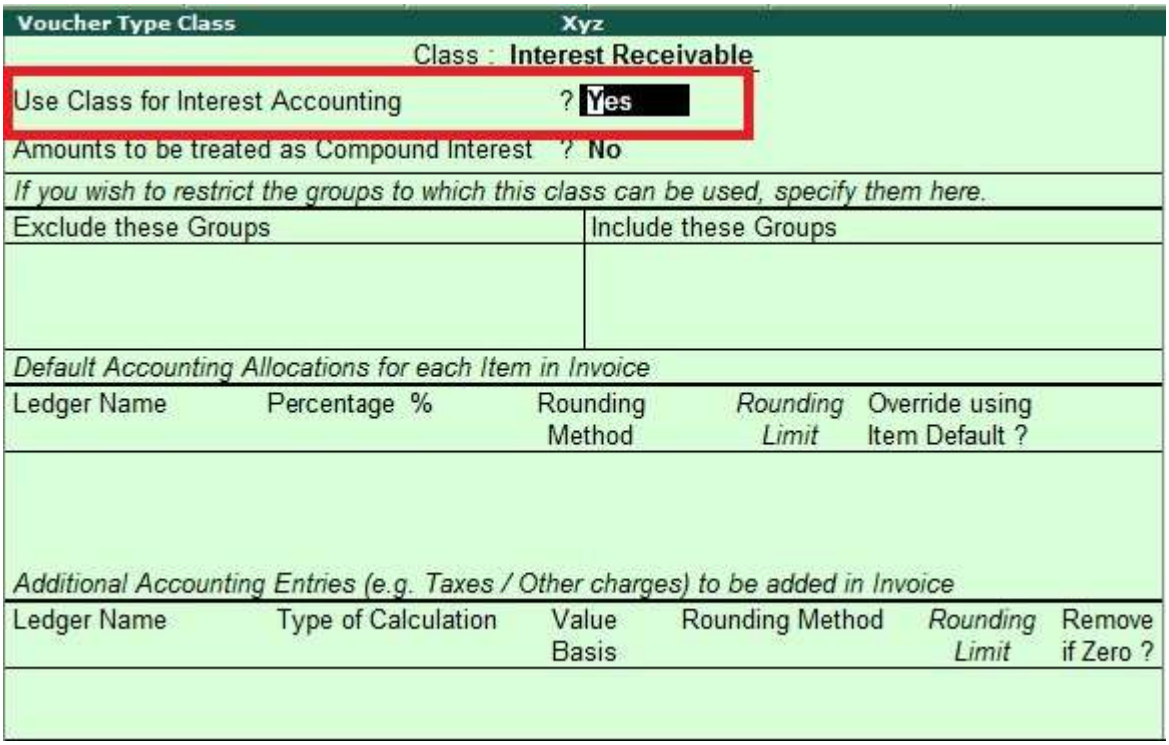
When you will press “enter” key on “Alter”, a list of voucher types will be open. You will select there “Debit Note” as follow:-



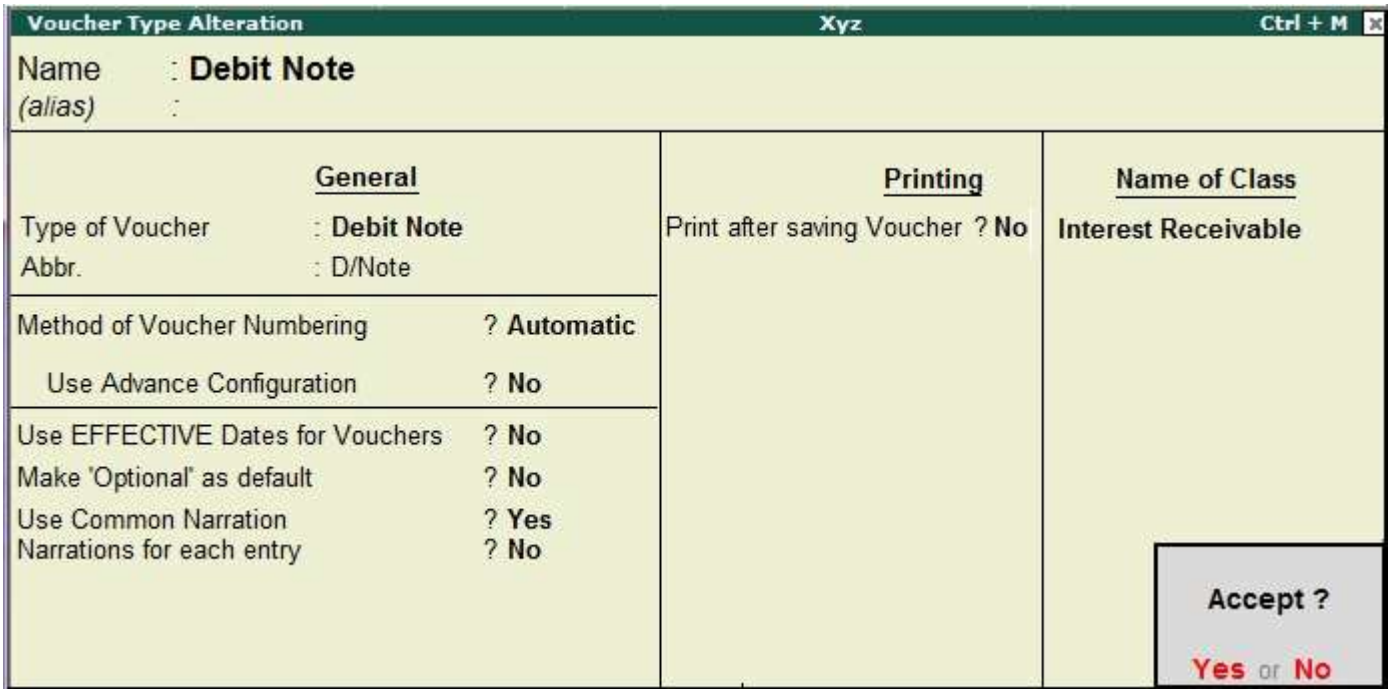
Press “enter” key on “Debit Note” and a form will open, fill as follow:-



Press “enter” after filling the name of class and then as follow:-



Press “enter”.

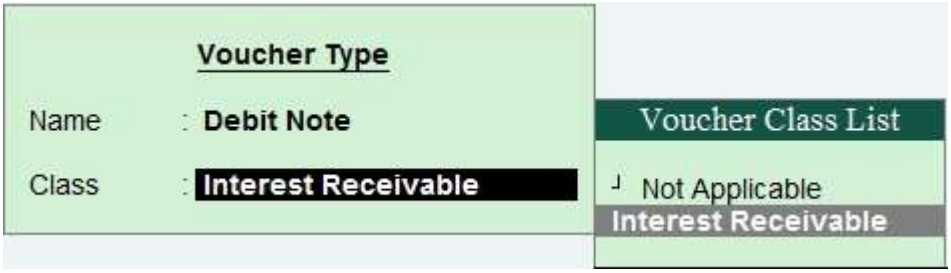


Accept the voucher by pressing “enter” key or “y”.

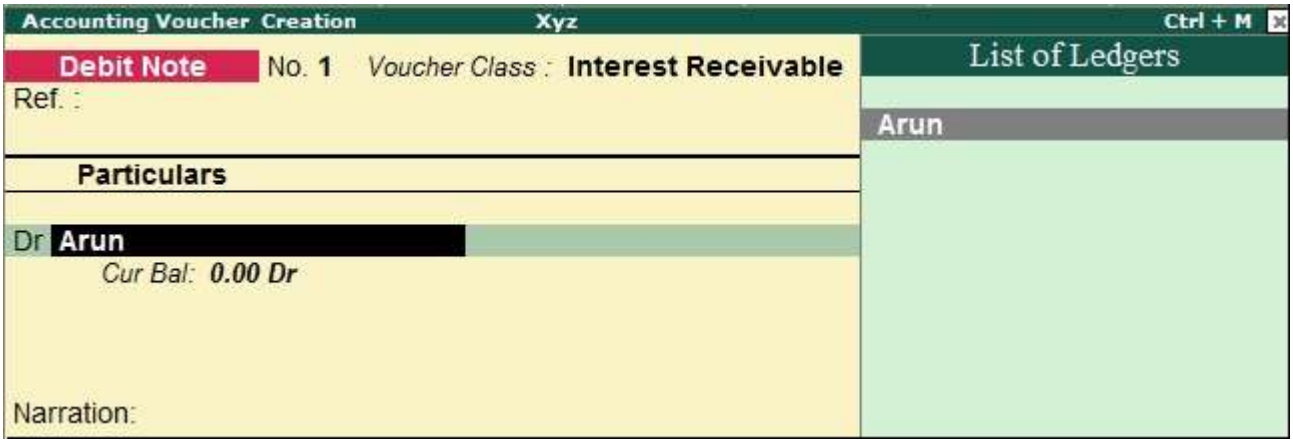
Now again do voucher entry:-

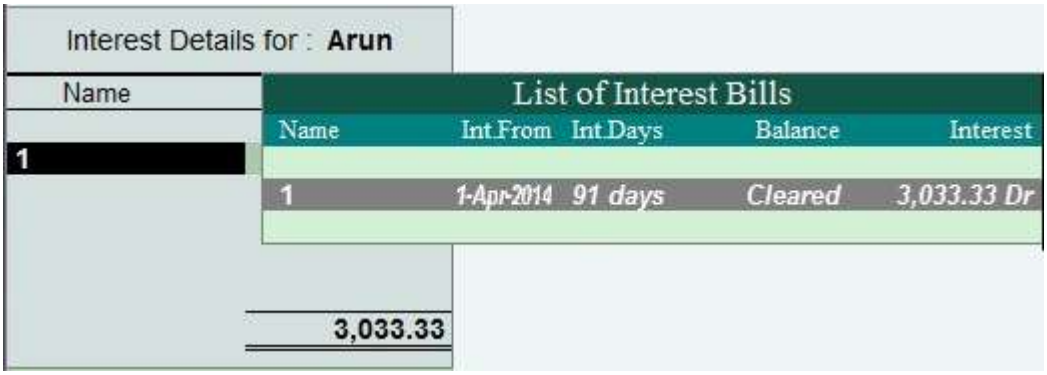
Now do voucher entry as follow:-

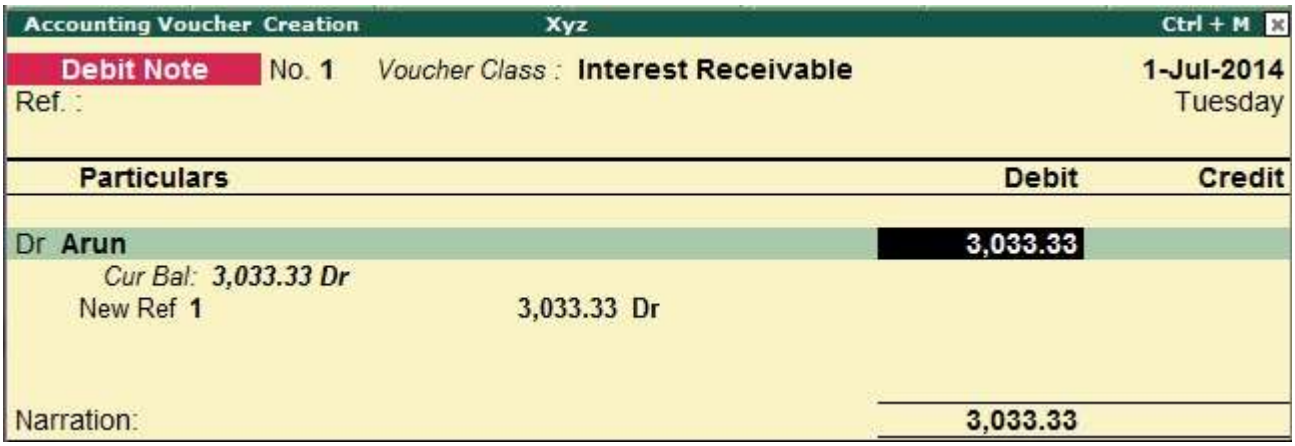
Path for voucher creation: - G.O.T. (Gateway of Tally)--> Inventory Voucher--> Press Ctrl + F9 (Debit Note Voucher).



Press "enter" on "Interest Receivable" and the voucher will be opened as follow:-







Bill-wise Details for : **Arun**
Upto: ₹ **3,033.33 Dr**

Type of Ref	Name	Due Date, or Credit Days (wef: 1-Jul-2014)	Amount	Dr/ Cr
New Ref	1		3,033.33	Dr
			3,033.33	Dr

Interest Parameters

Rate : 5 % per 30-Day Month on All Balances
Applicability : Always
From: Date Specified During Entry Date: 1-Jul-2014 To:
Rounding : Not Applicable
Rate : 0 % per on

Accounting Voucher Creation Xyz Ctrl + M

Debit Note No. 1 *Voucher Class :* **Interest Receivable** **1-Jul-2014**
Ref. : Tuesday

Particulars		Debit	Credit
Dr **Arun**		3,033.33	
Cur Bal: 3,033.33 Dr			
New Ref **1**	3,033.33 Dr		
Cr **Interest**			3,033.33
Cur Bal: 3,033.33 Cr			
Narration:		3,033.33	3,033.33

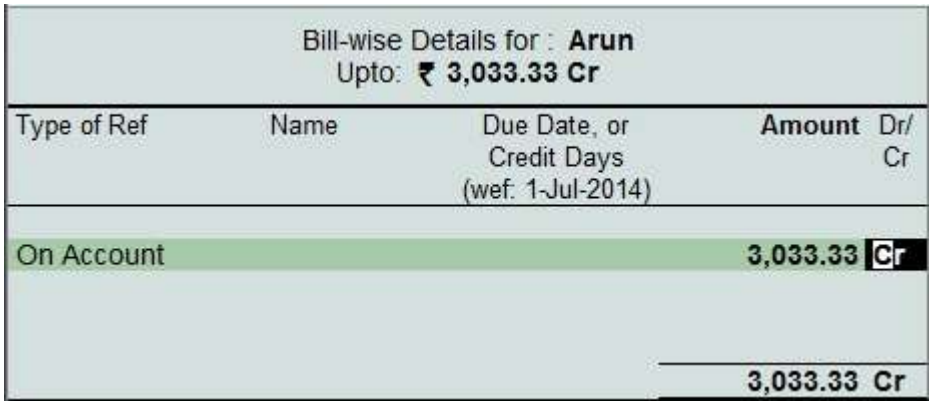
Accept the voucher.

After that, press F6 to open Receipt Voucher:-

Accounting Voucher Creation Xyz Ctrl + M

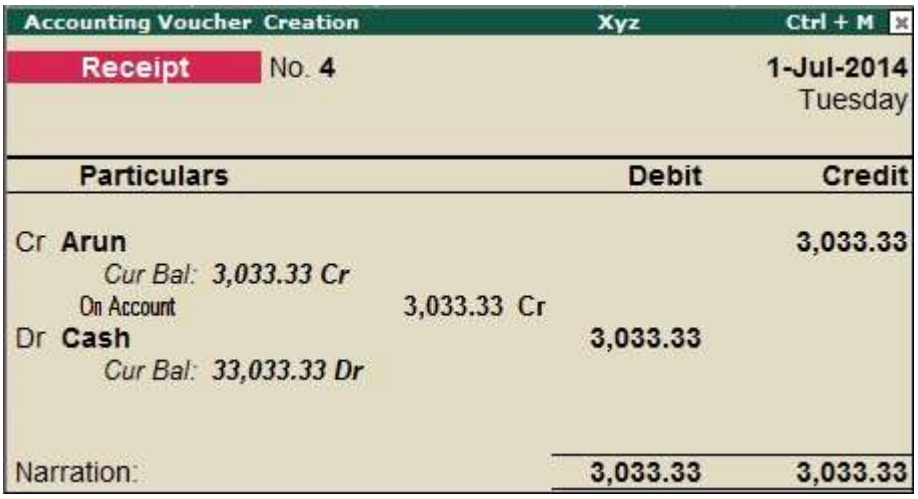
Receipt No. 4 **1-Jul-2014**
Tuesday

Particulars	Debit	Credit
Cr **Arun**		3033.33
Cur Bal: 0.00 Dr		
Narration:		



Bill-wise Details for : **Arun**
Upto: **₹ 3,033.33 Cr**

Type of Ref	Name	Due Date, or Credit Days (wef: 1-Jul-2014)	Amount	Dr/ Cr
On Account			3,033.33	Cr
			3,033.33	Cr



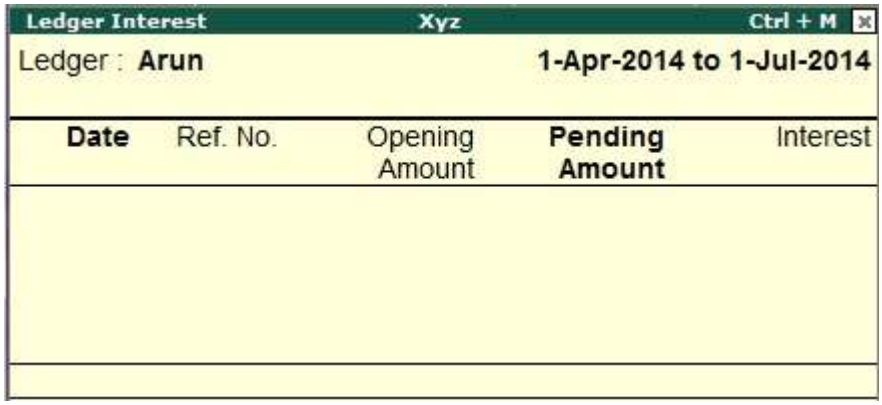
Accounting Voucher Creation — Xyz — Ctrl + M

Receipt No. **4** — **1-Jul-2014** Tuesday

Particulars		Debit	Credit
Cr **Arun**			3,033.33
Cur Bal: 3,033.33 Cr			
On Account	3,033.33 Cr		
Dr **Cash**		3,033.33	
Cur Bal: 33,033.33 Dr			
Narration:		3,033.33	3,033.33

Now view the ledger interest of Arun:-

<u>Path for view interest calculation</u>: - G.O.T. (Gateway of Tally)--> Display--> Statement of Account--> Interest Calculation--> Ledger--> Arun.



Ledger Interest — Xyz — Ctrl + M

Ledger : **Arun** — **1-Apr-2014 to 1-Jul-2014**

Date	Ref. No.	Opening Amount	Pending Amount	Interest